

Manage Employee Deductions

User Guide

Access Limited Distribution

Payroll

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Document Control

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1. Introduction

1.1. Purpose of this Guide

This document provides guidance on how to maintain payroll deductions in Payroll. This document will cover the following items:

- What is a Deduction?
- Types of Deductions.
- Adding a Deduction.
- Edit a Deduction.
- Delete a Deduction.

1.2. What is a Deduction

A deduction is a process whereby an employer deducts a specified amount from an employee's pay and puts the funds toward insurance, healthcare, investment account etc. Most deductions are based on either a specific monetary value or in other cases may be a percentage of salary.

A deduction can take many forms and be for many reasons which will be covered later in this document in the [1.3 Deduction Types](#) section.

Once-off Deductions

One-off deductions can be made using a timesheet.

For example:

- Late for work.
- Overpayment correction from a previous pay period.

Timesheets are covered in the *Timesheet Current Period* lesson in this course.

Permanent/Reoccurring Deductions

These deductions are included every time payroll is run, for a defined period or the duration of the employment (open-ended).

Most deductions are based on either a specific monetary value or in other cases may be a percentage of salary.

For example:

- **Tax allowable:** Payroll Giving
- **Non-allowable:** Savings

1.3. Deduction Types

The type of deduction is set at pay code level.



Note:

Deductions are created as pay codes. For more information please see the *Configuring Pay Codes* user guide.

This document covers the following deduction types:

- Standard Value Deduction
- Standard Percentage Deduction
- Reducing Balance Deduction
- Fixed Period Deduction
- Scaled Deduction
- Annual/Periodic Max Deduction (Increasing)
- Spreadable, Instalment Deduction
- Court/Voluntary Order Deduction
- Scale Rate/Scaled Deduction

1.3.1. Standard Value Deduction

A Standard Value Deduction is the simplest form of deduction. It is used to deduct a periodic amount in each payroll run.

There are two types of 'Value' based deductions:

Standard deductions: A specified amount is defined on the deduction pay code, i.e. the value is the same for all employees.

Variable deductions: The amount to be deducted is specific to the individual employee. These are not captured on the pay code but instead captured when adding the deduction to the employee's record.

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An example of a Standard Value Deduction may be “Social Club”.

Note: When assigning the value to a person, it is the periodic amount that is input.

The screenshot shows the 'Pay Code Wizard' interface with the 'Details' tab selected. The 'Pay Code' is 7007, 'Pay Code Description' is 'Admin Fee', and 'Analysis Code' is 'Voluntary Deductions'. A note states: 'The Deduction, 7007 - Admin Fee is Non-Taxable, Non-PRSIable, Non-Pensionable EE, Non-USCable.' Below this, the 'Hours / Days / Units / Value' is set to 'Value', 'Hours Days Limit' is empty, 'Multiplier' is -1, and 'Standard Value' is 5. There is a toggle for 'Update EEs with custom value' which is currently off. A formula summary at the bottom states: 'This Deduction is calculated on Value, multiplied by a Multiplier of -1 with a Standard Value of 5.' The interface includes a sidebar with steps 1 (Pay Code Formula), 2 (Rules), and 3 (General Ledger). A 'NEXT' button is at the bottom right.

The value of a standard value deduction can be updated at pay code level. This will update all employees with the standard value assigned to reflect the configured standard value.

Note: Enable the *Update EEs with custom value* toggle to update all employees with the pay code assigned to reflect the configured standard value. This will overwrite all values including custom values previously entered on an employee's record.

1.3.2. Standard Percentage Deduction

A Standard Percentage Deduction is used to deduct a percentage value amount, calculated based on different elements defined at the pay code level. Like a value deduction, the percentage value can be specified on the pay code or when applied to an employee's record.

Pay Codes

Pay Code Wizard

Payroll Dashboard > Pay Codes > Pay Code Wizard

1 Pay Code Formula

2 Rules

3 General Ledger

Details

Pay Code* 7012

Pay Code Description* Deduction Percentage - Uni

Analysis Code

Populated with suggested pay code

The Deduction, 7012 - Deduction Percentage - Uni is Non-Taxable, Non-Nialable, Non-Pensionable EE, Non-Pensionable ER.

Pay Codes* 1000 - Salary +1 More

Multiplier* -1

Standard Percentage* 5

Select paycodes you need the calculation to be bas...

Percentage Ceiling

Formula

This Deduction is calculated as sum of the following Pay Codes: Salary (1000), Salary Arrears (1002) multiplied by the Allowance Percentage assigned to the Employee or the Standard Percentage 5% multiplied by Multiplier -1.

NEXT

An example of a percentage deduction may be "Savings".

Note: When assigning the value to a person, it is the percentage value that is assigned and not a monetary value e.g. Entering 5 represents 5%.

1.3.3. Reducing Balance Deduction

A Reducing Balance Deduction is used to deduct a standard value or percentage each period until a specified sum is repaid. The balance due on the deduction is reduced every time the deduction is processed for the employee. The deduction automatically ceases when the balance due value reaches zero.

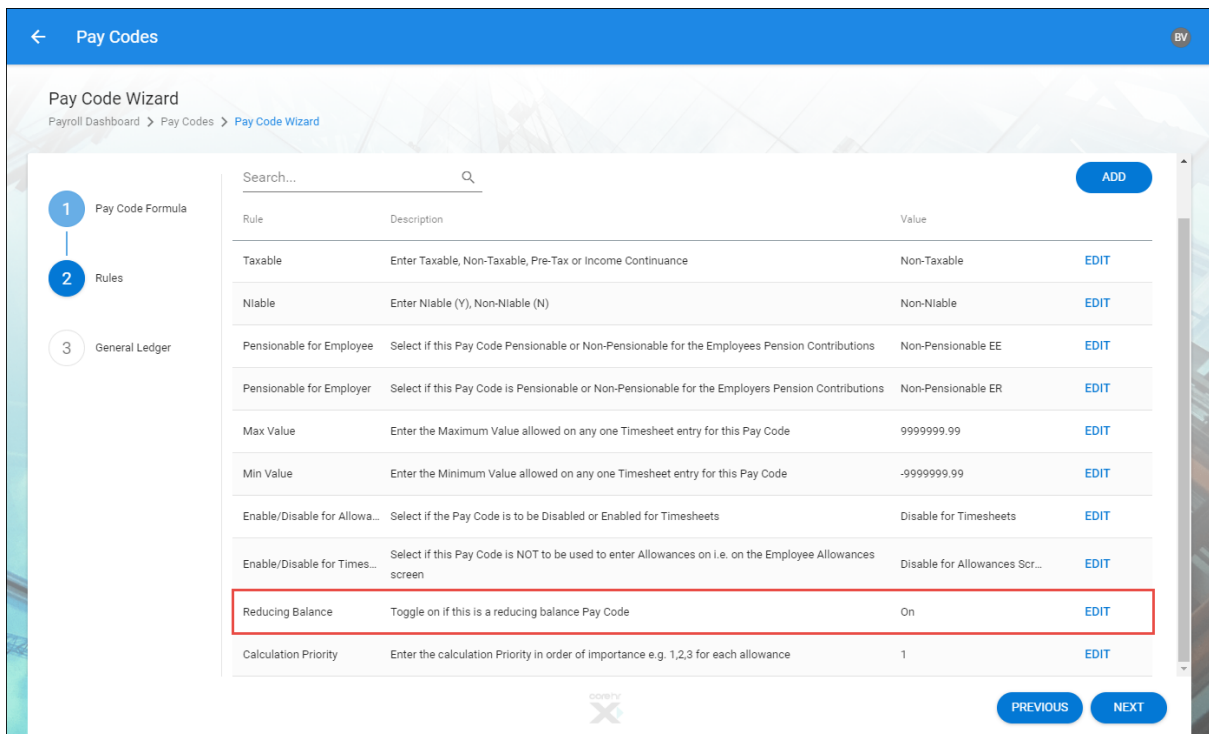
If the deduction cannot be taken in full, then the full deduction amount can be held as unpaid and can be added to the employee's following deduction when next paid.

Note:

A *Value* or *Percentage* is assigned to the employee.

If a *Value* is assigned it is the periodic value that needs to be assigned and not the capital sum.

This represents the Total Annual Value to be deducted. The balance due is automatically set to this value initially. This balance will be decreased each payroll run until it reaches zero at which point the deduction will cease.



The screenshot shows the 'Pay Code Wizard' interface, specifically the 'Rules' step. The interface includes a sidebar with three steps: 1. Pay Code Formula, 2. Rules (selected), and 3. General Ledger. The main area displays a table of rules with columns for Rule, Description, Value, and an EDIT button. The 'Reducing Balance' rule is highlighted with a red box.

Rule	Description	Value	
Taxable	Enter Taxable, Non-Taxable, Pre-Tax or Income Continuance	Non-Taxable	EDIT
Nliable	Enter Nliable (Y), Non-Nliable (N)	Non-Nliable	EDIT
Pensionable for Employee	Select if this Pay Code Pensionable or Non-Pensionable for the Employees Pension Contributions	Non-Pensionable EE	EDIT
Pensionable for Employer	Select if this Pay Code is Pensionable or Non-Pensionable for the Employers Pension Contributions	Non-Pensionable ER	EDIT
Max Value	Enter the Maximum Value allowed on any one Timesheet entry for this Pay Code	9999999.99	EDIT
Min Value	Enter the Minimum Value allowed on any one Timesheet entry for this Pay Code	-9999999.99	EDIT
Enable/Disable for Allowa...	Select if the Pay Code is to be Disabled or Enabled for Timesheets	Disable for Timesheets	EDIT
Enable/Disable for Times...	Select if this Pay Code is NOT to be used to enter Allowances on i.e. on the Employee Allowances screen	Disable for Allowances Scr...	EDIT
Reducing Balance	Toggle on if this is a reducing balance Pay Code	On	EDIT
Calculation Priority	Enter the calculation Priority in order of importance e.g. 1,2,3 for each allowance	1	EDIT

1.3.4. Fixed Period Deduction

A Fixed Period Deduction is used to pay an annual amount over a fixed number of deductions.

Some points about Fixed Term Deductions:

- If a period is missed, the amount is NOT accumulated as unpaid.
- A 'Reducing Balance' will be held in the balance due on the 'Deduction Record'.

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- The deduction will not be taken if the balance due is zero.
- The deduction will never be greater than the remaining balance.

In a payroll, to arrive at a periodic value, the system divides the amount by

- the number of deduction weeks (if Weekly payroll).
- the number of deduction weeks / 2 (if Fortnightly payroll).
- the number of deduction weeks / 4 (if 4 Weekly payroll).
- the number of deduction months (if Monthly payroll).

The screenshot shows the 'Pay Code Wizard' interface, specifically the 'Rules' step. The left sidebar indicates the steps: 1 Pay Code Formula, 2 Rules (active), and 3 General Ledger. The main area displays a table of rules with columns for Rule, Description, Value, and an EDIT link. The 'No. of Deduction Months' rule is highlighted with a red box.

Rule	Description	Value	
Taxable	Enter Taxable, Non-Taxable, Pre-Tax or Income Continuance	Non-Taxable	EDIT
Nliable	Enter Nliable (Y), Non-Nliable (N)	Non-Nliable	EDIT
Pensionable for Employee	Select if this Pay Code Pensionable or Non-Pensionable for the Employees Pension Contributions	Non-Pensionable EE	EDIT
Pensionable for Employer	Select if this Pay Code is Pensionable or Non-Pensionable for the Employers Pension Contributions	Non-Pensionable ER	EDIT
Max Value	Enter the Maximum Value allowed on any one Timesheet entry for this Pay Code	9999999.99	EDIT
Min Value	Enter the Minimum Value allowed on any one Timesheet entry for this Pay Code	-9999999.99	EDIT
Enable/Disable for Allowa...	Select if the Pay Code is to be Disabled or Enabled for Timesheets	Disable for Timesheets	EDIT
Enable/Disable for Times...	Select if this Pay Code is NOT to be used to enter Allowances on i.e. on the Employee Allowances screen	Disable for Allowances Scr...	EDIT
Calculation Priority	Enter the calculation Priority in order of importance e.g. 1,2,3 for each allowance	1	EDIT
No. of Deduction Months	For fixed period deductions enter the number of months that the annual value (on the employees deduction record) is to be divided by to establish the employees periodic contribution. This is relevant for Monthly and Bi-Monthly Pay Groups	12	EDIT

At the bottom right, there are 'PREVIOUS' and 'NEXT' buttons.

Note: When assigning the value to a person, it is the annual amount that is entered.

1.3.5. Scaled Deduction

A scaled deduction is a deduction value which is derived based on gross pay and operates via a scale or rates which determine the amount deducted.

An example of a scaled deduction is a Trade Union Deduction.

Create New Pay Code

Payment Type *

Deduction

▼

Payment Subset Type *

Scaled

▼

Pay Code *

3038

▲▼

Description

Scaled Deduction

CANCEL

OK

Payroll: Manage Employee Deductions

← Pay Codes

BV

Pay Code Wizard

Payroll Dashboard > Pay Codes > Pay Code Wizard

1 Pay Code Formula

2 Rules

3 General Ledger

Details

Pay Code*

7021

Pay Code Description*

Trade Union Scale

Analysis Code

Populated with suggested pay code

The Deduction, 7021 - Trade Union Scale is Non-Taxable, Non-NIable, Non-Pensionable EE, Non-Pensionable ER.

Pay Codes*

Hours / Days / Units / Value

Value Limit

Select paycodes you need the calculation to be bas...

Select a value type

Multiplier

-1

Formula

This Deduction processed at the Point the sum of the following Pay Codes: fall between on the grid below, multiplied by multiplier -1 .

Weekly Limit

Monthly Limit

Weekly Rate

Monthly Rate

ADD

NEXT

1.3.6. Spreadable, Instalment Deduction

A Spreadable Installment Deduction takes an annual figure and divides it over a specified number of periods. If a deduction period is missed, it recalculates the periodic amount by the remaining number of instalments. This will ensure that the deduction is always paid by the end of the year.

Note:

When assigning the value to a person, enter the annual amount in the value field.

The calculation of the periodic amount is as follows:

$$(Value - Total Cumulative to Date) / (Number of Installments - Deductions Taken)$$

On entering the deduction screen and selecting this type of pay code, you will be able to enter:

- The value as well as the number of instalments that are to be taken.
- The number of instalments that have been taken.

The screenshot shows the 'Pay Code Wizard' interface with the 'Rules' tab selected. The 'Spreadable Deduction' and 'Instalment Deduction' rules are highlighted with a red box.

Rule	Description	Value	
Taxable	Enter Taxable, Non-Taxable, Pre-Tax or Income Continuance	Non-Taxable	EDIT
Niable	Enter Niable (Y), Non-Niable (N)	Non-Niable	EDIT
Pensionable for Employee	Select if this Pay Code Pensionable or Non-Pensionable for the Employees Pension Contributions	Non-Pensionable EE	EDIT
Pensionable for Employer	Select if this Pay Code is Pensionable or Non-Pensionable for the Employers Pension Contributions	Non-Pensionable ER	EDIT
Max Value	Enter the Maximum Value allowed on any one Timesheet entry for this Pay Code	9999999.99	EDIT
Min Value	Enter the Minimum Value allowed on any one Timesheet entry for this Pay Code	-9999999.99	EDIT
Enable/Disable for Allowa...	Select if the Pay Code is to be Disabled or Enabled for Timesheets	Disable for Timesheets	EDIT
Enable/Disable for Times...	Select if this Pay Code is NOT to be used to enter Allowances on i.e. on the Employee Allowances screen	Disable for Allowances Scr...	EDIT
Calculation Priority	Enter the calculation Priority in order of importance e.g. 1,2,3 for each allowance	1	EDIT
Spreadable Deduction	Select the period in which the deduction is spreadable	Variable Spread	EDIT
Instalment Deduction	Toggle on if this deduction is to be processed based on a number of deductions (instalments) entered	On	EDIT

1.3.7. Court/Voluntary Order Deduction

This type of deduction is used to control the processing of Court / Voluntary Orders.

- A **Court Order** will take precedence over all non-statutory deductions (excluding pension) and is subject to a user-specified *Minimum Earnings*.
- A **Voluntary Order** is taken after all Statutory, Court Order and Non-Statutory deductions. It can be subject to user-specified Minimum Earnings.

These deduction types may only be for a specified periodic value and may be split over a number of user-specified payees.

If the minimum earnings are insufficient to meet the total amount of the order, the system will deduct as much as possible subject to the *Minimum Earnings*. Where the full amount cannot be taken, and the order is payable to a number of payees, the deduction is split pro-rata over all payees.

Amounts not taken in any period (because of minimum earnings) are not taken in subsequent periods.

The screenshot shows the 'Add Deduction' form in a payroll system. The form is titled 'Add Deduction' and has a breadcrumb trail: 'Payroll Dashboard > Clark Dale > Add Deduction'. The form contains several fields and sections:

- Start Date***: 01-May-2019
- Percentage***: 0.01
- Reference**: 6005
- Account Reference**: (empty)
- End Date**: (empty)
- First Name**: (empty)
- Surname**: (empty)
- Address Line 1**: (empty)
- Address Line 2**: (empty)
- Address Line 3**: (empty)
- Address Line 4**: (empty)
- Alt. Payee**: (empty)
- Alt. Reference**: (empty)
- Payee Reference**: (empty)
- Minimum Earnings***: 0
- Pay Method**: Payment Order
- Building Society Reference**: (empty)
- Date of Order**: (empty)
- Priority**: 1
- Bank (Sort Code)**: (empty)
- Order Reference**: (empty)
- Bank Account**: (empty)

A 'SAVE' button is located at the bottom right of the form.

1.3.8. Scale Rates/Scaled Deduction

The scale rate allows you to set a list of pay points to a pay code.

Pay Codes

Pay Code Wizard

Payroll Dashboard > Pay Codes > Pay Code Wizard

1 Pay Code Formula

Details

Pay Code *
2098

Pay Code Description *
Scaled Deduction

Analysis Code

Populated with suggested pay code

The Deduction, 2098 - Scaled Deduction is Non-Taxable, Non-NIable, Non-Pensionable EE, Non-Pensionable ER.

Pay Codes *
1000 - Salary +1 More

Select paycodes you need the calculation to be bas.

Hours / Days / Units / Value
Value

Select a value type

Value Limit

Multiplier
-1

Formula

This Deduction processed at the Point the sum of the following Pay Codes: Salary (1000), Occupational Salary Offset (1003) fall between on the grid below, multiplied by multiplier -1 .

ADD

NEXT

2. Maintain Employee Deductions

2.1. Add a Deduction

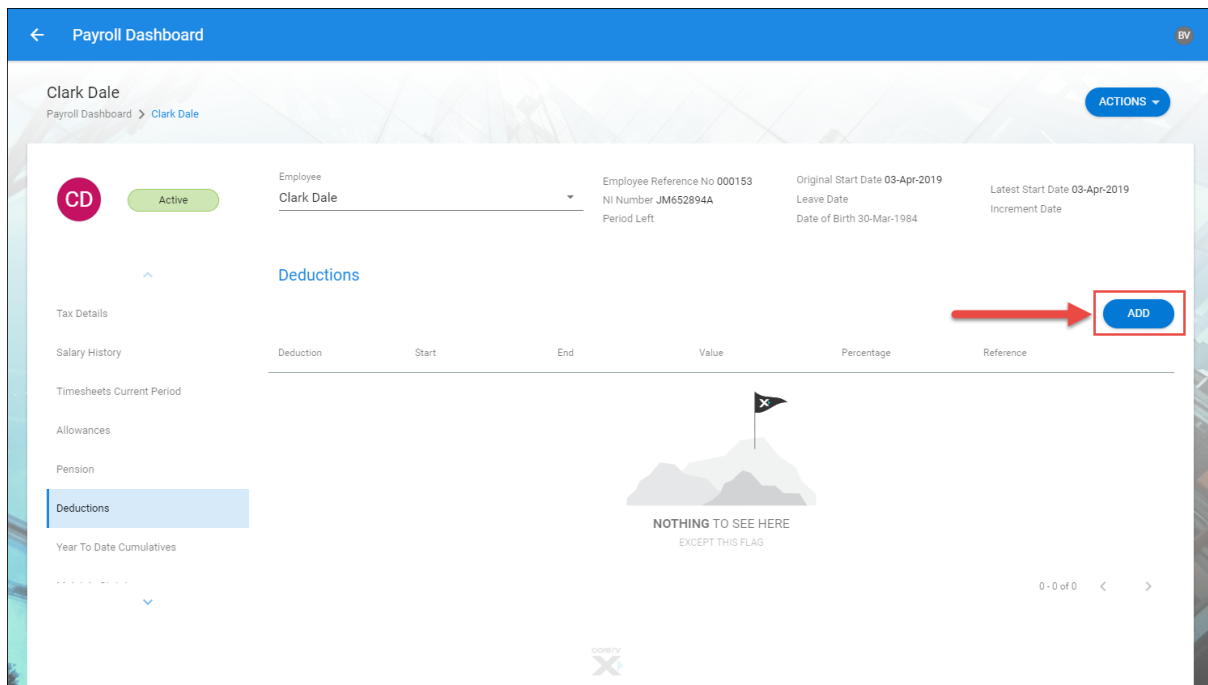


Note:

A deduction in its most basic form is created initially as a pay code. Please see the *Configuring Pay Codes* user guide for how to create a new deduction.

To add a pre-configured deduction at employee level:

1. Go to *Employee > View Employee Dashboard > Deductions*.



2. Click **Add**.
3. Complete the *Add Deduction* screen.

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← Clark Dale

Add Deduction
Payroll Dashboard > Clark Dale > Add Deduction

Select Deduction Code*

Start Date* Reference Account Reference End Date

Applicable Pay Periods
Start Period End Period

Adjust Normal Amount
Adjustment Value Number of Periods

Put Deduction on Hold
Hold Deduction Hold Periods

SAVE

- Select a deduction from the *Select Deduction Code* drop-down menu.

Note: The required fields will change to reflect the type of deduction selected.

Example: Car Leasing

Field	Description
Deduction Code	Select the deduction from the drop-down menu. This is a list of all deduction pay codes.
Start Date	Enter a date when you wish the deduction to start for the employee.
Value	Enter a value for the car leasing deduction. This is the amount to be deducted from each payroll.
Reference	This is auto-populated with the Deduction Code.
Account Reference	Optional reference text
End Date	Enter a date when you wish the deduction to end for the employee. (Optional). Leaving this blank will continue the deduction indefinitely.

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4. Click **Save**.

Employee: James Robins, NI Number: AB435674C, Original Start Date: 11-Sep-2018, Leave Date, Date of Birth: 21-Nov-1976

Deductions

Deduction	Start	End	Value	Percentage	Reference
Car Leasing	11/SEP/2018		250.00	0	7190

1 - 1 of 1

2.2. Edit a Deduction.

Note:

Deductions can also be edited at pay code level e.g. updating a standard deduction value for all employees. Please see the *Configuring Pay Codes* user guide for how to edit an existing deduction.

To edit a deduction:

1. Click the button.
2. Click **Edit**.

Employee: James Robins, NI Number: AB435674C, Original Start Date: 11-Sep-2018, Leave Date, Date of Birth: 21-Nov-1976

Deductions

Deduction	Start	End	Value	Percentage	Reference
Car Leasing	11/SEP/2018		250.00	0	7190

1 - 1 of 1

Edit

Delete

Notes

Payroll: Manage Employee Deductions

3. Overwrite the new details.

Note:

You cannot edit the Deduction Code here. Only the following fields can be edited:

- Start Date
- End Date
- Value
- Account Reference

4. Click **Save**.

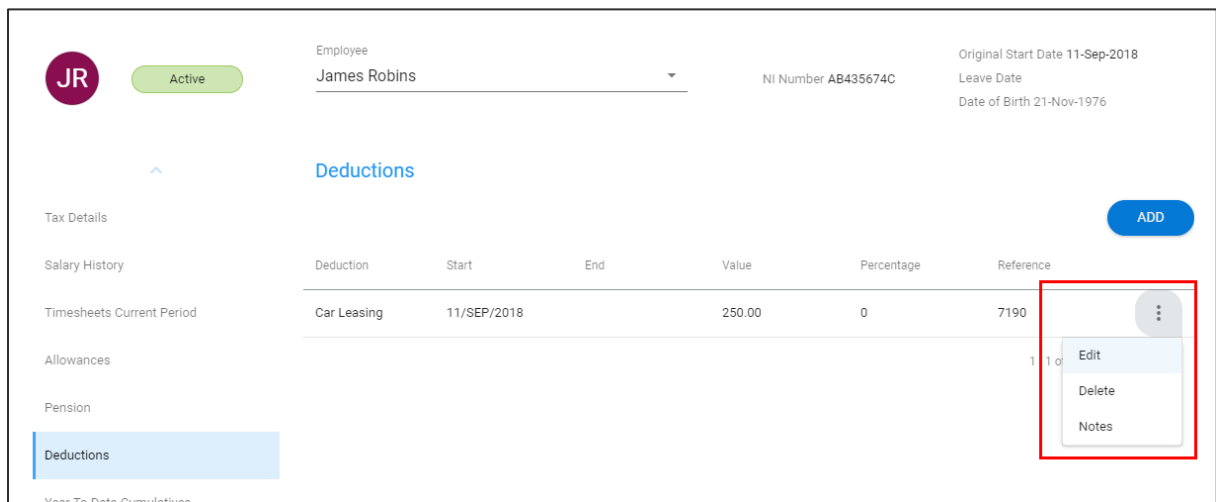
2.3. Delete a Deduction

Note:

Deleting a deduction here only removes the deduction from the employee record. This does not delete the Deduction Code.

To delete the deduction from the employee record:

1. Click the  button.
2. Click **Delete**.



The screenshot shows the 'Deductions' section for employee James Robins. The interface includes a sidebar with navigation links (Tax Details, Salary History, Timesheets Current Period, Allowances, Pension, Deductions) and a main table of deductions. The table has columns for Deduction, Start, End, Value, Percentage, and Reference. A single deduction is listed: 'Car Leasing' starting on 11/SEP/2018 with a value of 250.00 and a reference of 7190. A red box highlights the 'Delete' button in the dropdown menu that appears when the 'More options' button (three dots) is clicked.

Deduction	Start	End	Value	Percentage	Reference
Car Leasing	11/SEP/2018		250.00	0	7190

3. Click **Save**.

3. Load Deduction Details

3.1. Overview

Payroll provides a facility to *Load New Deduction Details* into Payroll using a CSV file.

The *Load New Deduction Details Facility* allows the following deduction types to be loaded:

- Standard Value
- Reducing Balance
- Percentage
- Instalment Value

3.2. CSV File Layout

The CSV file must contain the following columns:

.CSV Column	Field Name	Data Type	Sample Entry	Note
A	Employee Reference	(Mandatory) Varchar2 (10)	000123	<= 10 numbers or characters accepted
B	Pay Code	(Mandatory) Number (4)	3500	4 Numeric
C	Value	(Mandatory)	1000	Max. Size 9999999999.99
D	Account Reference	(Optional) for Account Reference	12345678	<= 12 numbers or characters accepted
E	Capital Sum	(Optional) for Reducing Balance deductions	10000	Max. Size 9999999999.99
F	Number of Deductions	(Optional) for Instalment Voluntary deductions	12	Max. Size 9999999999.99
G	Deductions Taken	(Optional) for Instalment	6	Max. Size 9999999999.99

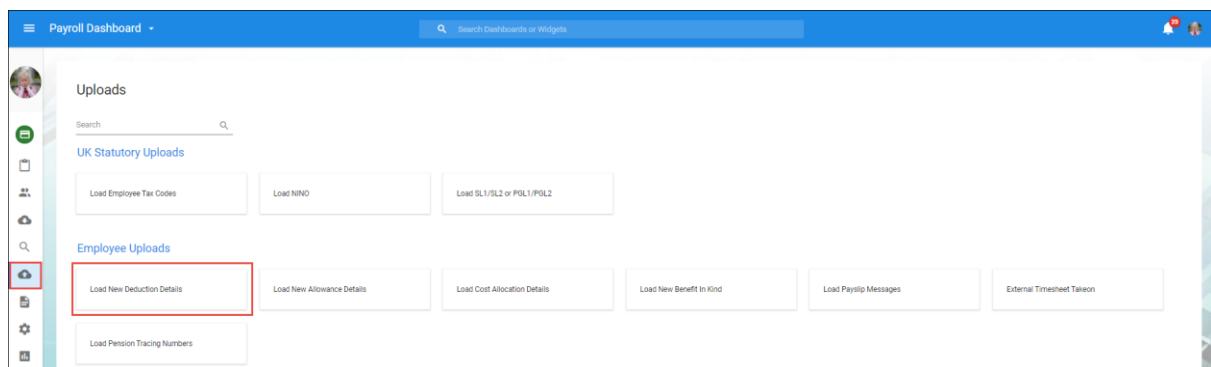
Payroll: Manage Employee Deductions

.CSV Column	Field Name	Data Type	Sample Entry	Note
		Voluntary deductions		
H	Percentage Rate	_Optional) for Percentage Rate deductions	20	Max. Size 9999999999.99

3.3. Load Deduction Details

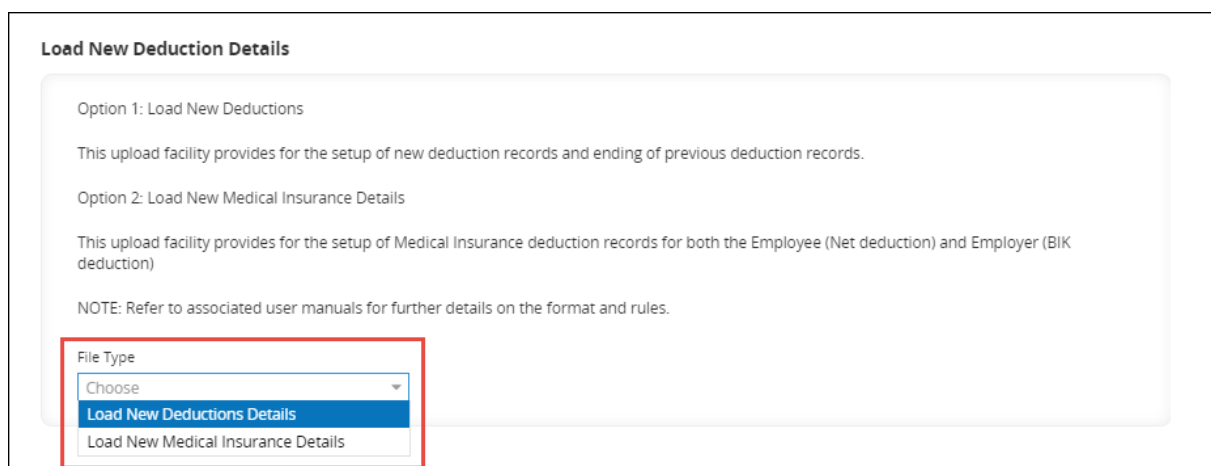
To Load New Deduction Details:

1. Go to *Payroll Dashboard > Uploads > Load New Deduction Details*.



The *Load New Deduction Details* screen opens.

2. Choose a *File Type* from the drop-down *File Type* menu, i.e.
 - Load New Deductions Details.
 - Load New Medical Insurance Details.



The *Load New Deductions Details* screen opens

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Load New Deduction Details

End Date * 30-Sep-2020 Start Date * 01-Oct-2020 Reference * ABCDE

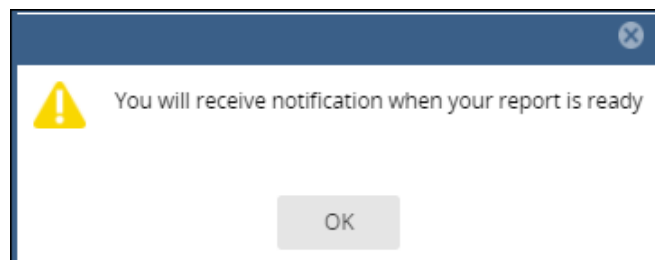
Please select file to be loaded
C:\fakepath\Deductions.csv

Browse

OK Cancel

3. When loading deduction details, the end date field is mandatory. This end date ends the previous deduction. If no previous deductions exist, enter the end date as the day before the start date.
4. Enter a *Start Date* for the Deduction.
5. Click **Browse** and select the file from the file location.
6. Click **OK**

The following message appears.



Once uploaded, an exceptions report is generated to the *Report Centre*.